- *Price to free cash flow*—FCF is the money a company has left over after it has paid all expenses and made capital investments. It can be used to pay dividends, repurchase shares, or make acquisitions. The aim is to find businesses selling at low multiples of FCF.
- *P/E ratio*—The current price per share divided by the forecasted earnings. The lower the ratio the better.
- *EV/EBIT (cap rate)*—This ratio is a twist on the EV/EBITDA metric. However, instead of EBITDA we used EBIT, earnings before interest and taxes but *after* deducting depreciation and amortization. At my old firm, Hoefer & Arnett, we used to call EV/EBIT a "cap rate," similar to a cap rate used to value real estate. We used to argue, why buy a piece of commercial real estate with a 6 percent cap rate or a bond with a 7 percent yield if you could buy a business like Macy's with a 20 percent cap rate?

For financial companies and banks, I use some of the following:

- *Price/tangible book value*—The tangible book value (TBV) is equal to the book value minus intangible assets, such as patents and goodwill. Assuming the loans on a bank's balance sheet have been appropriately accounted for—a big assumption considering the events in the financial industry over the past several years—a bank trading around its TBV would represent the value at which one could theoretically liquidate the bank. The TBV per share, therefore, might provide somewhat of a floor for a bank's value.
- *P/E ratio*
- *Tangible common equity/total assets*—This ratio provides a measure of a bank's capital adequacy. The more tangible common equity, the less leverage is employed and the "safer" the bank is.

How many stock names do you end up with after your run your screens?

About 200. I also come up with company ideas by reading and talking to friends in the industry.

What do you read regularly that is helpful?

I read the *Wall Street Journal*, *Barron*'s, and a number of subscription based newsletters including the *Wall Street Transcript*, *Dick Davis*